Free riders in practice: why many workers get union benefits without joining

> A free rider benefits from something without paying for it. A survey of Australian workers shows how this problem arises with union-won pay and conditions, and why markets under-supply goods that people cannot be excluded from.

39.2%
Eligible workers who were not union members (2004 survey)

51.7%
Of those non-members who said there is "no point in joining since I get all the benefits anyway"

55.6%
Said membership fees are too high

48.5% / 35.2%
Part-time / full-time workers who were technical free riders

51.4% / 31.3%
Technical free riders aged up to 25 / over 44

2004
Year of the survey: an older source

1. The economics: public goods and free riders

- **Public goods** are non-excludable (you cannot stop people using them) and non-rival (one person's use does not reduce another's). National defence and street lighting are examples. **Private goods** are excludable and rival.
- Because people can enjoy a public good without paying, many will not pay. This is the **free rider problem**. The market under-supplies the good, so the government usually provides it and pays through taxation.

2. A real-world case: free riding on union bargaining (Haynes, Holland, Pyman, Teicher)

When a union wins a pay rise or conditions for a workplace, non-members usually get them too. The authors used the Australian Worker Representation and Participation Survey 2004 to measure this.

Finding	Result
Eligible workers who are not union members	39.2%
Non-members who say there is "no point" as they get the benefits anyway (calculating free riders)	51.7%
Non-members who gave high fees as a reason	55.6%
Non-members who said the union "does not achieve anything I value"	48.9%
Non-members who said "I don't believe in unions"	19.2%

- **Who free rides most:** younger workers, lower paid workers, part-time workers and those with short job tenure. Free riding fell with tenure at the same employer from 64.2% (less than one year) to 20.8% (11 to 20 years).
- **Mixed motives:** many non-members gave several reasons, so the authors say at most about half of the technical free riders are consciously avoiding paying. Others think the benefits are less than the cost.
- **Caution:** the data are from 2004. For current union membership, see the labour market handout on this site (13.1% of employees in August 2024).

Exam angle: the union case is an example, but your syllabus link is to public goods: define non-excludable and non-rival, explain why free riding leads to under-provision, and finish with the government response (provide the good, fund it by tax). Say that the union example is a collective benefit that is not a pure public good, which shows evaluative understanding.

Syllabus link

HSC 2009 Topic 3 (3F Market failure): 3F.3 public and private goods and the free rider problem. Also relates to 4F labour market policies (union representation).

Try this

1. Define a public good. (2 marks)
2. Explain the free rider problem using an example. (4 marks)
3. Assess why governments rather than markets provide public goods. (6 marks)

Sources: Haynes, P., Holland, P., Pyman, A. and Teicher, J., Free-Riding in Australia (using the Australian Worker Representation and Participation Survey 2004). The paper is filed with this handout.